

2. The assistant walks in and mentions that her prior meeting with a new client has been moved to the *30th of January*.

The only difference in the two scenarios is the mention of “5th” and “30th.” Is the manager going to enter the same revenue growth projection in both these scenarios? If Professor Kahneman's description of the strength of the anchoring bias is accurate, it is likely she will enter a higher growth rate number in the “30th” scenario:

“[Anchoring is] one of the most reliable and robust results of experimental psychology.”²

Anchoring suggests that the portfolio manager will enter different growth forecasts into the model in these separate scenarios. The scariest part is that the manager won't even know this subliminal nudge is occurring, because anchoring effects are influencing the decision-making process subconsciously.

Scary stuff.

Framing

Framing is another bias that creeps into our minds behind the scenes and influences our behavior. The framing bias occurs because different ways of presenting information can evoke different emotions or alter our perceptions, which then leads to different decisions.

Consider the two middle circles in [Figure 3.4](#).³ Even though the middle circles are the same size, it appears that the circle on the right is larger than the one on the left because of framing. The right circle is surrounded by smaller circles, causing our brains to perceive the right circle as being large when compared with the surrounding smaller circles. However, the left circle is surrounded by larger circles, leading our brain to interpret it as being relatively smaller than the right circle. Go ahead, stare at the circles as long as you'd like. Our brains are programmed to perceive the two circles differently, based on the context, or frames, even though they are exactly the same size.